

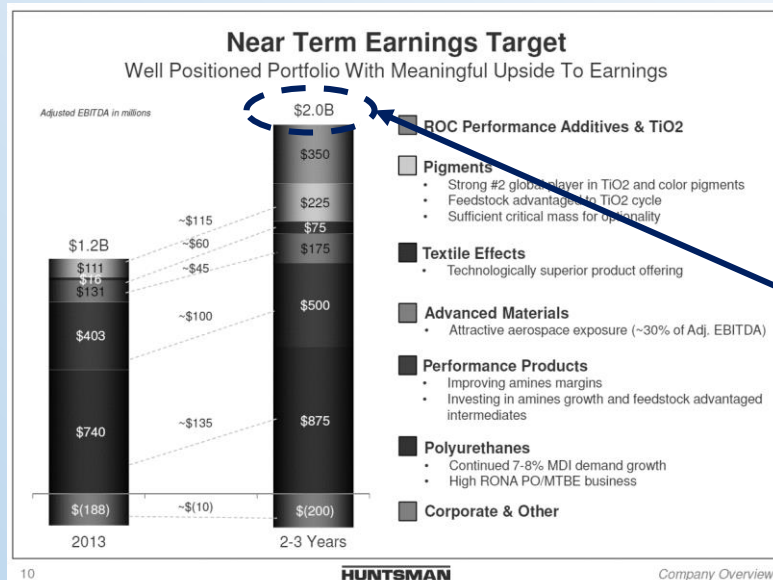
In March 2014, Management Promised to Achieve \$2 Billion of Adjusted EBITDA Over Two to Three Years

At the Company's 2014 Investor Day, months after announcing the Rockwood TiO2 transaction, management expressed confidence that the acquisition, coupled with strong growth prospects in the other reporting segments, would allow the Company to achieve \$2.0 billion of Adjusted EBITDA by 2015 or 2016.

"And again, I want to emphasize that as we look at this \$2 billion objective, this is coming from every one of the divisions. This has got to be a broad front approach, it's going to be a broad front attack, every division has to be able to perform up to expectations."

*Peter Huntsman, President & CEO
March 2014*

Excerpt From 2014 Investor Day Presentation



\$2.0 billion EBITDA target contemplated strong growth across all reporting segments

The Company told shareholders that it would be able to achieve \$2.0 billion of Adjusted EBITDA by 2016.

Over the Following Twelve Months, the Company Continued to Promise It Would Achieve \$2.0 Billion Adj. EBITDA By 2016

July 2014

“So as we look at that \$2 billion run rate, I don't see any pie in the sky, we have got to go out and double margins in any one product, or have some ridiculous, unrealistic price increase or anything. These are all projects that have been announced...And it is just a question of executing on those...So I feel, today, even more confident in that number than I was when -- in March, when we gave that number to our investors.”

Peter Huntsman, President & CEO

September 2014

“We've spent a lot of time with the investment community talking about a bridge, how we get from where we are to that \$2 billion. I think if you dig into those numbers, you'll see that it's certainly achievable in the next 2 to 3 years.”

John Heskett, VP – Treasury & Planning

December 2014

“Our LTM is about \$1.4 billion. We have an objective to go to \$2 billion of EBITDA. Many of our businesses are sort of at that level...But really, on track we think near term to get to that \$2 billion of EBITDA.”

Kimo Esplin, CFO

February 2015

“I would say that we should quite soundly beat the projections that we gave for the \$2 billion. Again, we still have a great deal of confidence in the \$2 billion number...I think that when we look at the overall composite, we still feel very confident about that.”

Peter Huntsman, President & CEO

The Company repeatedly assured shareholders that \$2.0 billion Adjusted EBITDA would be achievable.

However, By Early 2016, Just Twelve Months Later, the Company Stopped Promising Adjusted EBITDA of \$2.0 Billion

Between Q1 2015 and Q1 2016, the Company's \$2.0 billion Adj. EBITDA target was not only eliminated, but was also replaced with a diminished commitment for \$1.5 billion Adj. EBITDA over "the next couple of years."

Date	Description	Management Commentary
April 2015	\$2.0 billion target delayed from 2016 to 2017, while estimated contribution from reporting segments modified	"About a year ago, at our Investor Day, we introduced to the market our near-term EBITDA target of \$2 billion. We believed that we could achieve this number in the next two to three years...<u>we continue to target a \$2 billion run rate in 2017. With present industry trends, we think we will continue to see stronger specialty and differentiated growth than we had expected and softer commodity TiO2 in our recovery.</u>" <i>Peter Huntsman, President & CEO</i>
August 2015	Company provides reasons for why assumptions behind \$2.0 billion target may have been faulty	"We continued to emphasize our goal that we gave out about -- it's been about a year and a half now of a \$2 billion EBITDA. <u>Obviously, in the last 18 months, the world's economy and so forth is between the price of crude oil. We made that forecast as, what, about \$110 a barrel, and what we were seeing growth in China and so forth.</u> And a lot of that's been turned around from what we saw 18 months ago." <i>Peter Huntsman, President & CEO</i>
February 2016	Company revises target down by \$500 million to \$1.5 billion and further pushes out the timeline to achieve	"...of the \$2 billion [EBITDA], there was roughly \$425 billion of the pigment's EBITDA in there, so if you exclude that and you use the FX headwind, that Peter mentioned, of about \$140 million. That's a number, <u>I think, that this company can hit in the next couple of years. Is \$1.5 billion a number that we're capable of? Yes, I think that that's realistic.</u>" <i>Kimo Esplin, CFO</i>

The Company's confidence in achieving \$2.0 billion of Adj. EBITDA evaporated between 2015 and 2016.

Wall Street Analysts Had Also Concluded That the Company's \$2.0 Billion Target Was Unattainable

Between the Company's initial Investor Day in March 2014 and its subsequent Investor Day in March 2016, Wall Street analysts made dramatic downward revisions to their FY 2016 Adjusted EBITDA estimates.

Wall Street Analyst Estimate History for Huntsman's FY 2016 Adjusted EBITDA⁽¹⁾



By early 2016, Wall Street analysts had also concluded that the Company's \$2.0 billion Adj. EBITDA target was no longer credible.